



Green Securities Framework







Green Securities Framework

Contents

Introduction	2
Organization's Description	2
• Renewable Energy Investments	3
Framework	6
Trust's Organizational Scheme	7
• Trustor	7
• Issuer	7
• Trust Objectives	7
Green Bond Goals	8
Green Securities Framework	9
• Use of Proceeds	9
• Project Selection and Evaluation Process	11
• Management of Proceeds	12
• Report Production	13
External Review	14

Introduction

Empresa Generadora de Electricidad Haina, S.A., (“EGE Haina” or “the Company”) is one of the leading power generation companies in the Dominican Republic with a total installed capacity of 737.3 MW. It is the country’s largest public-private company in terms of assets, investments, and state tax payments.

EGE Haina’s commitment to sustainability is clearly evidenced by its deployment of various initiatives that seek to permanently reduce the Company’s environmental footprint. As a result, it has significantly mitigated CO₂e emissions per each KW produced, cutting it by half during the past twenty years, including a notable 19%¹ reduction during 2019 alone.

The success in curbing down emissions is rooted in five major renewable energy projects totaling USD 403 million. Developed over the last 10 years, these projects (four wind farms and one solar) have further consolidated EGE Haina’s position as the undisputed leader in renewable energy in the Caribbean. The Company is pushing ahead with an even more ambitious goal to produce an additional 1,000 MW of renewables-based installed capacity, as a core initiative of its 2030 Strategic Plan.

To finance part of this latest endeavor, EGE Haina has created the Larimar 1 Public Securities Offering Trust (“Fideicomiso de Oferta Pública de Valores Larimar I”), which will serve as a vehicle to implement a Securities Issuance Program that is subject to Green Grading. EGE Haina has hired Fiduciaria Popular, S.A. to serve as trustee for the Larimar 1 Trust. As such, Fiduciaria Popular will be responsible for managing the trust and all its assets, as well as implementing the Securities Issuance Program.

As a trustee, Fiduciaria Popular will serve as a conduit issuer under the existing local regulations, meaning all funds raised through and for the Green Framework will ultimately be reimbursed to EGE Haina. These funds will be used in accordance with the terms and regulations stipulated under the “Use of Funds” section. EGE Haina will also be responsible for overseeing compliance with the Green Framework guidelines.

Organization’s Description

Empresa Generadora de Electricidad Haina, S.A. (EGE Haina) was established on August 17, 1999 and incorporated under the laws of the Dominican Republic on October 28, 1999, as part of the Dominican energy subsector’s capitalization process resulting from the Public Company Reform Act No. 141-97 of June 24, 1997. Said Reform Act stipulated that companies previously controlled by the Dominican government should be restructured to allow private investments. As a result, EGE Haina was created as a mixed public-private company with 50 % of its shares controlled by private investors, 49.993 % controlled by the State, presently under the FONPER (*Fondo Patrimonial de las Empresas Reformadas*), and the remaining 0.007 % controlled by former employees of the CDE (one of the companies controlled by the State prior to the restructuring).

After the capitalization process was completed, EGE Haina updated its operational and managerial procedures in accordance to the public service practices. In addition, it implemented an investment program

¹ Calculated by using SENI’s emission factor for the period 0.6216 según el UNFCCC. For more information, please refer to: “Standardized baseline/Grid Emission Factor for the Dominican Republic, United Nation Framework Convention on Climate Change (“UNFCCC”).”

surpassing USD 960 million that included repairing and refurbishing the generation assets provided by the State, as well as adding new generation units to the Dominican power system.

EGE Haina owns 10 power generation plants distributed throughout different regions of the country: (i) Sultana del Este, Quisqueya 2 and Quisqueya Solar on the East (ii) Haina, Palenque (leased to Domicem) and Barahona on the South, and (iii) Pedernales, Los Cocos 1 & 2 and Larimar 1 & 2 on the Southwest.

EGE Haina's fleet includes:

- 30 thermal units capable of burning different types of fuel (natural gas, fuel oil and coal) and using different technologies (steam turbines, diesel engines, single-cycle gas turbines and combined-cycle engines),
- 69 aerogenerators distributed in four Wind farmwind farms and
- 1 photovoltaic park.

In addition, the Company manages 233.2 MW under operation and maintenance contracts of third-party properties: Quisqueya 1, a dual fuel (fuel oil and natural gas) combined-cycle generation plant with, with a 225.2 MW net installed capacity; and, the Quilvio Cabrera Wind Farm, with a net installed capacity of 8 MW.

Assets also include Haina Overseas Corporation, Inc. (HOC), an EGE Haina fully-owned subsidiary created on March 2015 with the purpose of handling foreign investments that have not yet materialized.

Renewable Energy Investments

EGE Haina invests in renewable energy projects that guarantee both power supply and environmental protection.

The Company has invested USD 403 million in five non-conventional renewable energy projects:

Wind Energy

EGE Haina is a pioneer and leader in wind-powered energy in the Dominican Republic and the Caribbean with four major Wind farms: Los Cocos 1 (2011) & 2 (2013) and Larimar 1 (2016) & 2 (2018).

The Company has 69 aerogenerators with a 175 MW capacity, generating 600,000 MWh of clean energy per year, contributing to savings of over one million barrels of crude oil from being imported and 300,000 tons of CO₂ emissions. See 2019 data on pages 4 & 5.

Solar Energy

Operating since 2015, the Quisqueya Solar Farm features 4,760 photovoltaic panels and 50 power inverters. It supplies energy to the Quisqueya 2 power plant for its auxiliary equipment. Boasting a 1.5 MW generation capacity, its building investment reached USD 3.25 million.

The Girasol Solar Farm is still under construction and, once completed in 2021, it will boast 120 MWp and nearly 275,000 photovoltaic panels. With a projected annual generation capacity of 250 GWh, it will prevent 150,000 tons of CO₂ from being released into the atmosphere each year and will save 400 thousand barrels of oil from being imported.

Tons of CO2e offset

29,934

87,731

Los Cocos I

Eolic Park

48,157

Generation (MWh)

Los Cocos II

Eolic Park

141,138

Generation (MWh)



Tons of CO2e offset

113,908



81,676

Larimar I

Eolic Park

183,250

Generation (MWh)

Larimar II

Eolic Park

131,396

Generation (MWh)

EGE Haina periodically measures and registers the emissions generated from fixed sources at all of its plants. During 2019, its renewable energy projects contributed by offsetting 314,553 tons of CO₂e emissions, reducing total CO₂ emissions by 19 % per year. This is calculated using a grid emission factor of 0.6216 tons of CO₂e per MWh generated, according to the National Interconnected Electric System (known as SENI by its Spanish acronym), which is the standard accepted by the United Nations Framework Convention on Climate Change (UNFCCC) and published by the Office of Climate Change of the Ministry of Environmental and Natural Resources².

Central	Installed Capacity MW	Capacity Factor	Generation MWh	Tons of CO ₂ e off-set	Tons of CO ₂ /MWh
Los Cocos 1	25.2	22%	48,157	29,934	0.6216
Los Cocos 2	52.0	31%	141,138	87,731	0.6216
Larimar 1	49.5	42%	183,250	113,908	0.6216
Larimar 2	48.3	31%	131,396	81,676	0.6216
Quisqueya Solar	1.5	16%	2,097	1,304	0.6216
Total	175.0	-	506,038	314,553	0.6216

Framework

To finance the development of 1,000 MW through renewable energy projects included in the 2030 Strategic Plan, EGE Haina began the implementation of a financial structure that would allow access to competitive capital through a Public Securities Offering Trust.

First, the company has set up the Larimar 1 Public Securities Offering Trust to issue the Fixed Income Securities subject to the Green Evaluation. The issuer of said Green Securities is Fiduciaria Popular S.A., which will be responsible for implementing the Securities Issuance Program. The funds raised through said program will be transferred to EGE Haina as restitution and will be invested in the development of new renewable energy projects. The assets of the Trust, administered by Fiduciaria Popular, will include the economic exploitations rights of the Larimar 1 Wind farm and the economic rights of the Power Purchase Agreement (“PPA”) related to said Park. The capital flows generated by the Larimar 1 Public Securities Offering Trust will serve as a repayment source for the Green Securities.

The Larimar 1 Wind Farm is located on Loma Buena Vista in Enriquillo, Barahona province, on the Dominican Republic’s southwestern region. It features 15 wind turbines (Vestas V 112), each with a 3.3 MW capacity, for a total installed capacity of 49.5 MW. The Park was inaugurated in March 2016 after an investment of USD 118 million, and began operations on May 9 of that same year. All the power generated is sold to the *Corporación Dominicana de Empresas Eléctricas Estatales* or CDEEE (corporation of state-owned power companies, within the framework outlined in the PPA 123/2016 that was subscribed between the Company and the CDEEE.

After applying the SENI’s 2019 emission factor (which is a UNFCCC standard) to the Larimar 1 Wind farm’s estimated annual generation average, it is estimated that this facility will contribute to offset emissions

² Grid emission factor for the Dominican Republic published by the UNFCCC as an Approved Standardized Baseline (ASB0047-2020) or its substitute: https://cdm.unfccc.int/methodologies/standard_base/2015/sb143.html

of 123,000 tCo2e per year. It should be noted that EGE Haina has hired the firm MGM Innova Consulting to conduct emission reduction certifications in that Park for the 2016-2019 period following the VCS standard, resulting in 467,625.16 tCo2e in total offset emissions during said period³.

The net funds raised by the Green Securities Issuance Program will be returned to EGE Haina in a proportion of no less than 95 % and used by the Company to finance expenses and capital investments related to the development, construction, and launching of power generation projects eligible under this framework and the taxonomy of the Climate Bonds Initiative (“CBI”).

Trust’s Organizational Scheme

In order to reach the 2030 corporate goals set for installed capacity from renewable sources, EGE Haina will appoint Fiduciaria Popular, S.A, as a trustee to manage the assets and rights to be provided by EGE Haina to the Public Securities Offering Trust created and set forth in the Articles of Incorporation and those which will join in the future, as well as to comply with the goals and objectives of said Public Securities Offering Trust.

Trustor

EGE Haina, as trustor, will provide its assets and property rights, as described in the incorporation articles of the Public Securities Offering Trust, in accordance to the provisions of the Act for the Development of the Trust and Mortgage Market in the Dominican Republic 189-11 from July 16 of 2011, as modified (hereinafter known as the “Trust Act”); The Securities Market Act 249-17, dated December 19 of 2017 (hereinafter known as the “Securities Market Act”); as well as other laws and regulations that apply to the trusts and its related public security offerings.

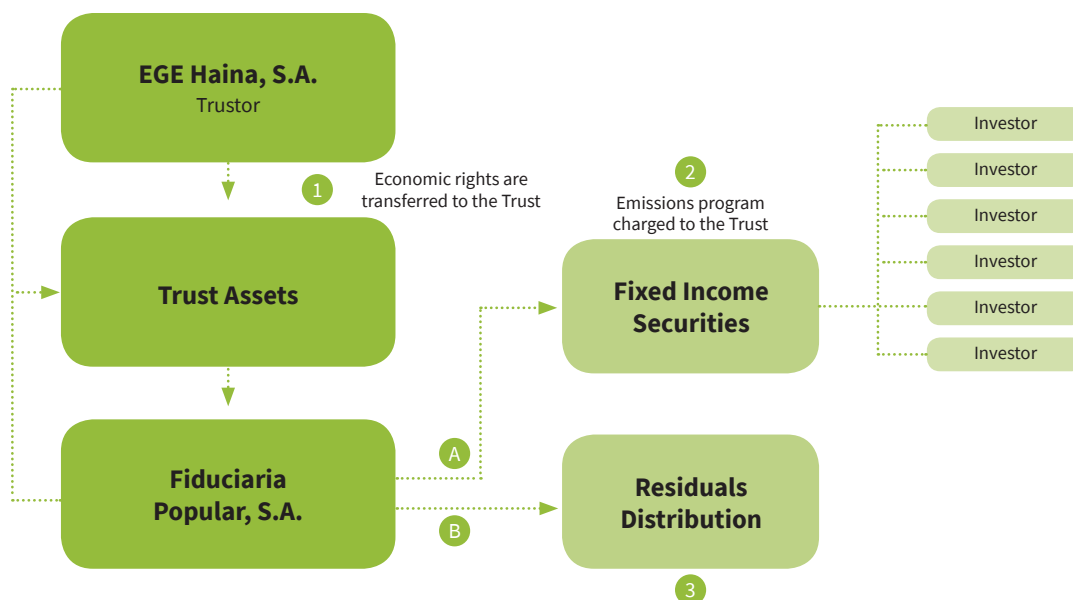
Issuer

FIDUCIARIA POPULAR, S.A., a limited liability company (*sociedad anónima*) incorporated and operating in accordance to the laws of the Dominican Republic, is a corporation duly authorized by the Dominican Republic’s Bank Superintendency to operate as a trustee. It is subject to the compliance of the 249-17 Securities Market Act, as well as the regulations and resolutions issued by the Securities Market National Council and the Securities Market Superintendency, in regards to their actions and services. Likewise, it will have supplementary use in unanticipated issues, specifically those related to previous rules and general dispositions of law in the following areas: administrative, corporate, commercial, trusts, monetary and financial, as well as common law and other business uses, depending to what applies in each case.

Trust Objectives

1. Management and development of assets that integrate the Trust Estate with the exclusive and ulterior motive of supporting the Issuance Program approved by the Securities Market Superintendency (*Superintendencia del Mercado de Valores* or *SIMV*).
2. Obtaining resources through the Fixed Income Trust’s Securities Issuance Program and transferring the earned funds to the Trustor that will in turn use them in accordance to the “Use of Proceeds” section.

³ “Monitoring Report Larimar Wind Farm Project”, MGM Innova Consulting



Green Bond Goals

As one of the main players of the Dominican Republic’s electric power generation subsector, EGE Haina acknowledges its environmental responsibility and has made a commitment with sustainability and the Sustainable Development Goals (SDG). EGE Haina works to advance the SDG, in line with the national agenda designed and formulated in the “Vision, Objectives and Goals” section set forth in the 2030 National Development Strategy (END by its Spanish acronym). The Company is the main generator of clean energy for the national power system and, as such, contributes to the following objectives:

- #7 – Affordable, non-polluting energy / ensure access to affordable, reliable, sustainable and modern energy for all.
- #13 - Action for the environment / Take urgent action to combat climate change and its impacts.

Regarding Objective #7, EGE Haina contributes to point 7.2 (substantially increase the share of renewable energy in relation to the total energy mix by 2030) by building up to 1,000 MW in renewable energy projects in the Dominican Republic by said date. The Dominican Government has been clear on its intentions to reduce 25 % of the greenhouse gasses by 2030⁴.

Regarding Objective #13, EGE Haina contributes to point 13.a.1 by assigning up to USD 1,000 million by 2030 from the annual USD 100,000 million commitment global goal set by the SDG.

Certification of the Securities Issuance Program under the Green Bonds Principles demonstrates EGE Haina’s commitment to environmental sustainability, and reinforces its Environmental Policy by committing, among other things, to:

- Operate in harmony with the environment in a way that future generation needs are not compromised.

⁴ [https://www4.unfccc.int/sites/SubmissionsStaging/NationalReports/Documents/29064815_Dominican%20Republic-NC3-1-Informe%20Tercera%20Comunicaci%C3%83%C2%B3n%20\(Para%20WEB\)%20\(2\).pdf](https://www4.unfccc.int/sites/SubmissionsStaging/NationalReports/Documents/29064815_Dominican%20Republic-NC3-1-Informe%20Tercera%20Comunicaci%C3%83%C2%B3n%20(Para%20WEB)%20(2).pdf)

- Promote actions and positive attitudes regarding contamination prevention and environmental preservation by identifying, evaluating and implementing measures to mitigate the potential impact associated to energy generation.

In addition, as previously stated, the resources obtained by the Issuance Program will contribute to finance the renewable energy-based growth projected in the 2030 Strategic Plan, thus supporting the transition to a fully sustainable energy system.

Green Securities Framework

The Green Securities' goal is to facilitate the transparency in the use of funds, as well as integrity and quality in providing Green Securities information to all related parties.

This Framework is designed in accordance to the Climate Bonds Standard's Version 3.0⁵ of the Climate Bonds Initiative (CBI) and the Green Bonds Principles⁶, published by the International Capital Markets Association (ICMA), which are focused on four key components: use of funds, project selection and evaluation process, fund management and report presentation.

In summary, the funds obtained through the Issuance Program will be used to finance or refinance the development, construction, and operation launch of renewable energy projects, as well as the infrastructure needed to achieve their SENI interconnection. To date, the Company has identified potential 461 MW of power generation projects from solar and wind sources which are at different development stages and have conditional or provisional approvals.

As the funds recipient, EGE Haina is a company with the structure, policies and controls necessary to guarantee transparency to use and manage the funds, select and evaluate projects, and ensure the preparation and presentation of reports as described in the following sections.

Use of Proceeds

In accordance to CBI climate bond's eligibility criteria and, in general terms, the eligible assets are related to:

- Installation, acquisition, expansion and/or continuous management of on-shore wind or solar facilities.
- Installation, acquisition, expansion and/or continuous management of transmission infrastructure and supplies and other support infrastructure for power generation facilities at on-shore wind or solar farms, including power inverters, transformers, energy storage systems and control systems.
- Power generation or manufacturing facilities fully dedicated to wind or solar production.
- On-shore thermo-solar facilities, such as solar powered water heaters.

In that regard, and in the context of the Issuance Program, an amount no higher than 5% of the net income generated by said program could be invested to finance the working capital needs of the Larimar 1 Public Securities Offering Trust.

⁵ <https://www.climatebonds.net/files/files/climate-bonds-standard-v3-20191210.pdf>

⁶ https://www.icmagroup.org/assets/documents/Regulatory/Green-Bonds/Translations/2018/Spanish-GBP_2018-06.pdf

Renewable projects development timeline



Fiduciaria Popular S.A., which is in charge of the Larimar 1 Public Securities Offering Trust assets and will implement the Issuance Program and will manage the profit from the sale of energy generated by the Larimar 1 Wind farm, will pay for expenses related to the operation and management of said Park and Trust, will assume the Trust responsibilities and will pay for the debt service required by the issued securities. The remaining amount from the Issuance Program will be returned to EGE Haina and used to finance the expenses and investments related to renewable energy projects that comply with the CBI eligibility criteria and the terms stipulated in the present Framework.

As mentioned previously, EGE Haina has identified potential solar and wind power generation projects with a combined installed capacity of 461 MW.

The Girasol Solar Farm, which is now under construction at Yaguata San Cristobal Province, is expected to start operations by the first quarter of 2021. Once it is completed, it will provide nearly 120 MW of power using photovoltaic solar panels and trackers and will be connected to the Interconnected National Power System (SENI) through an electric power substation.

In addition, an 138kV electric power transmission line will be built featuring 138/34.5 kV power transformers, 138 kV power switches, and 34.5 kV distribution devices, as well as protection and control systems. The estimated construction budget for the Girasol Solar Farm surpasses USD 94 million, including land acquisition, development expenses and interests paid during the construction stage. The project already has several energy purchase contracts signed by private clients operating in the industrial and mining sectors, with a 10-year average duration. Once it starts operations, the park is expected to generate a yearly average of 250 GWh and contribute to an annual average reduction of 150,000 tCO₂⁷.

Project Selection and Evaluation Process

The eligible project selection and evaluation process will be responsibility of EGE Haina's Strategy Committee whose members represent all areas of the Company and is lead by the General Manager (CEO). When making the selection, said Committee will take into account that the projects must comply with the "use of funds" criteria set forth in the existing Framework and generate a measurable positive environmental impact focused on:

- Estimated emission reductions (tCO₂e) attributed to the project, calculated based on the SENI emission factor published by the UNFCCC as a Standard Approved Base Line (ASB0047-2020) or its substitute, multiplied by estimated electric power generated by the project.
- Obtaining the Environmental License issued by the Ministry of Environment and Natural Resources of the Dominican Republic and the timely submission of the Environmental Compliance Reports required to maintain its validity.

In addition, the Committee will evaluate the projects to align them, if possibly, with the objectives stated in the SDG. Measurement and selection criteria will be evidenced in the written minutes as support. The minutes will be shared with the Trust representative to keep them informed.

⁷ Grid emission factor for the Dominican Republic published by the UNFCCC as an Approved Standardized Baseline (ASB0047-2020) or its substitute: https://cdm.unfccc.int/methodologies/standard_base/2015/sb143.html

Internal periodic evaluation will be the responsibility of the following departments, which must present their biannual reports to the Strategy Committee:

- The Operations Department will be in charge of making sure that the selected projects maintain a valid Environmental License and will inform of any breach identified in the Environmental Compliance Reports.
- The Finance Department will ensure the compliance of what is set in the Framework with regards to fund management and report presentations (Fund Allocation and Impact & Compliance Reports, according to the details in the “Reports” section).

Management of Proceeds

The net income from the Issuance Program will be used following instructions included in the “Use of Funds” section. Funds allocation disclosures will be provided after securities placement process, whether they are assigned to refinance existing projects or to pay for expenses or investments associated to projects that are under construction or in the development stage. The Finance Department will be in charge of producing the supporting documents required to justify the amounts assigned to each project.

In case that the totality of the resources cannot be assigned at the time of securities placement, the Finance Department will be responsible for maintaining the excess amount in a bank account or a short-term investment instrument. In addition, that same Department will create a restricted cash account to that amount and said funds can only be used to cover expenses and investments directly related to those projects that have been selected as eligible —prior to any disbursement— by the Strategy Committee, as detailed in the “Project Selection and Evaluation Process” section.

As the Green Bond debt is paid off, the funds assigned to the projects from said bond will be proportionally reduced, so that the **outstanding debt** from the Green Bond can be assigned to a project or remain as a restricted cash amount.

In case of disinvestment from any project to which Issuance Program funds have been assigned, whether completed or under construction, EGE Haina will assign the previously determined amount to this or other eligible projects which, according to the “Use of Funds” section, are aligned with the Green Bond Principles and have been approved the Strategy Committee, as stated in the “Project Selection and Evaluation Process” section. In case funds have to be reassigned due to disinvestment, assigning them to existing projects will be acceptable. If at that time, EGE Haina did not have any projects available (built, under construction or in development), the funds could be assigned to the Larimar 1 Wind farm and follow up reports will be developed for said project. Reorganization of projects into EGE Haina-controlled vehicles will not be considered a disinvestment. EGE Haina will assign auditors or qualified third-parties to verify the assigned Green Bond funds and the internal follow up method.

Report Production

Within the context of this Framework and the Issuance Program, EGE Haina will focus reporting on two main areas:

Fund Allocation

Allocation of net income to refinance existing projects, expenses or investments in projects at any stage of development or for any other purposes, will be performed according to the guidelines established in the “Use of Funds” section.

After placement, bond holders will be informed about the initial allocation of funds. While the totality of proceeds is not fully allocated and until the first Impact and Compliance Report is not issued, the status of the remaining allocations will be informed to bondholders and those interested parties on a quarterly basis. These reports will be shared through the web pages of EGE Haina and Fiduciaria Popular.

Impact and Compliance Report

Until expiration of the Green Securities, EGE Haina will produce annual reports with information relevant to the emission reduction achieved by the projects financed through the income generated by the Green Bond Issuance Program. A highlighted section within this report will feature the remaining emission balance and, in case there is any variance in the project allocations, such as disinvestments, EGE Haina will also indicate it. Moreover, the company will include information regarding any benefit or impact generated by said project related to the SDG objectives that can be identified and measured during the project selection process. Likewise, these reports will be shared in the EGE Haina and Fiduciaria websites, and will include, at minimum, the following information:

- a. Fund allocation status
- b. Project name and type
- c. Country
- d. Operation date
- e. Installed capacity or service lifespan (in years), total and proportional to Green financing.
- f. Total generated power in GWh, total and proportional Green Bond financing according to measurement at injection point.
- g. Annual emissions prevented through GEI (tCO₂e5), total and proportional Green Bond financing based on power generated annually multiplied by the SENI emission factor published by the UNFCCC⁸.
- h. Compliance declaration regarding the existing Green Framework guidelines and detailing any important exemption, controversy and mitigation actions.
- i. Any material breach identified by the Environmental Compliance Reports and the mitigation plan.
- j. Indicators Table:

SDG	Goals	Description	Methodology
 Affordable and non-polluting energy	7.2 Considerable increase in ratio of renewable energy to total energy mix until 2030.	Ratio of renewable energy in total energy consumption	Total energy generated in GWh, according to measurement at injection point / total energy consumption in GWh, according to the Coordinator.

⁸ Grid emission factor for the Dominican Republic published by the UNFCCC as an Approved Standardized Baseline (ASB0047-2020) or its substitute: https://cdm.unfccc.int/methodologies/standard_base/2015/sb143.html

 Climate Action	13.A Fulfill the commitment undertaken by developed-country parties to the United Nations Framework Convention on Climate Change (UNFCCC) to a goal of jointly mobilizing USD 100,000 billion annually by 2020 from all sources to address the needs of developing countries in the context of meaningful mitigation actions and transparency on implementation and fully operationalize the Green Climate Fund through its capitalization as soon as possible.	Green Bond Capital investment	Amount of US dollars mobilized each year, since 2020, towards the \$100,000 million commitment
---	--	--------------------------------------	---

External Review

In compliance with the alignments established by the Climate Bonds Initiative, and to ensure the transparency of the process, the Trust will hire independent third-party contractors to perform the following reviews:

- **Pre-Program Emissions Verification.** EGE Haina has retained the services of Pacific Corporate Sustainability, a company that belongs to Pacific Credit Rating Group, an approved verifier by the Climate Bonds Initiative, to conduct an independent verification of the Green Framework and guarantee that it is aligned with the Green Bond Principles and complies with “best practices” standards.
- **Annual Assurance.** The Framework will be verified annually by a qualified independent auditor or third party to ensure its compliance and will verify that the proceedings for use of proceeds, project selection and evaluation, and the management of proceeds have been performed according to the guidelines set forth in said document.





Lope de Vega 29, Torre Novo-Centro, 17 th floor, Naco.
Santo Domingo, Dominican Republic

 809.334.1060      egehaina.com